HSC ECONOMICS · NEWS SUMMARY · STORY 10

STUDENT HANDOUT

Fuel costs push inflation and the 'misery index' higher

ACCC/ABS data via Kalkine, ABC News and NRMA, 30 Sept–19 October 2026 · Topic 3: Economic Issues · prepared 20 October 2026

241.9c
average petrol price per litre, 14 Oct, up 71.0c since February [1]

4.0%
headline inflation, year to August (July 3.5%) [2]

3.6%
trimmed mean inflation, the RBA's preferred measure [2]

2–3%
the RBA's inflation target band [2]

The global oil shock is flowing through to Australian households. ACCC data show petrol averaged 241.9c and diesel 278.5c a litre in the five largest cities on 14 October [1]. Fuel was a major reason headline inflation rose to 4.0% in August, and CEDA's 'misery index', which combines inflation and unemployment, is at its highest since 2023 [2][4]. The September quarter CPI, due on 28 October, will be a key test for the RBA [5].

KEY FACTS

- Petrol is up 71.0c a litre and diesel up 101.9c since 20 February, just before the Strait of Hormuz was closed [1].
- Automotive fuel prices rose 14.8% in the August CPI (7.5% in July), driven by world oil prices and the end of the federal fuel excise relief on 3 August [2][3].
- The government has ruled out an immediate new cut to fuel excise [3].
- Housing was the largest contributor to annual inflation, with new dwelling prices up 5.4% over 12 months; transport was second [2].
- Trimmed mean inflation has stayed at 3.6% for three months, above the 2–3% target band [2].
- Fuel stocks on 25 August covered 41 days of petrol and 36 days of diesel use [3].
- CEDA expects its misery index to stay high until at least the end of 2028 [4].
- The IMF expects Australian inflation of about 3.9% in 2026, easing to 3.1% in 2027, still above the target [6].

SYLLABUS LINKS

- **Topic 3** Inflation: measurement (CPI, headline vs underlying), causes (cost-push from energy), and effects.
- **Topic 3** Effects of inflation on the distribution of income: fuel is a larger share of spending for low-income and regional households.
- **Topic 3** Environmental sustainability: dependence on imported fossil fuels and the shift to EVs.
- **Topic 4** Policy: the RBA's inflation target; fiscal choices such as fuel excise relief.

KEY TERMS

Consumer Price Index (CPI): a measure of the change in prices of a basket of goods and services bought by households.

Trimmed mean: an underlying inflation measure that removes the largest price rises and falls each period.

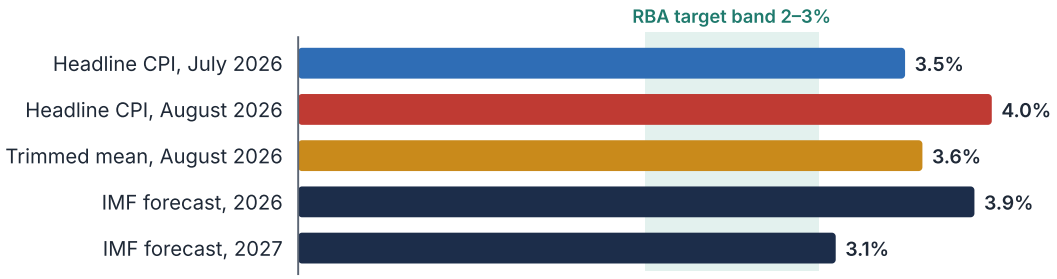
Misery index: inflation plus unemployment; a rough gauge of economic hardship.

Headline inflation: the change in the whole CPI, including volatile items such as fuel.

Fuel excise: a federal tax charged per litre of fuel.

Second-round effects: when an initial price shock spreads into wages and other prices.

INFLATION COMPARED WITH THE RBA'S 2–3% TARGET



Annual rates. Monthly CPI data from ABS via ABC News [2]; IMF forecasts as reported [6]. Every measure shown is above the top of the target band.

COMPETING PERSPECTIVES

Supply shock: rates are the wrong tool

- ACOSS and others argue the main drivers are supply-side, which interest rates cannot fix [2].
- Fuel is excluded from the trimmed mean, which is steady at 3.6% [2].
- Raising rates adds to unemployment, which is already rising (Story 8).
- Targeted relief for low-income households would ease hardship.

The RBA must stop it spreading

- Inflation of 4% is well above the 2–3% target [2].
- The RBA's Kent is concerned about second-round effects as businesses pass on costs [7].
- Broad fuel subsidies or tax relief could add to demand; the IMF warned against them [6].
- If people expect high inflation, it becomes harder to bring down.

EVIDENCE FOR EXTENDED RESPONSE

Sample question: Analyse the causes and effects of inflation in the Australian economy in recent years.

- Cost-push: petrol +71.0c, diesel +101.9c since February; fuel +14.8% in the August CPI [1][2].
- Policy cause: the end of fuel excise relief on 3 August [3].
- Effects: lower real incomes, a higher misery index, and RBA rate rises [2][4].
- Distribution: fuel costs hit low-income and regional households hardest.

SHORT-ANSWER QUESTIONS 15 marks

1. Distinguish between headline inflation and underlying (trimmed mean) inflation. **2 marks**

2. Explain TWO reasons why fuel prices in Australia have risen sharply in 2026. **3 marks**

3. Explain how rising fuel prices can affect the distribution of income. **4 marks**

4. Evaluate the effectiveness of monetary policy in responding to inflation caused by a global oil price shock. **6 marks**

SOURCES

1. Kalkine Media (ACCC data), *Brent crude price 2026: up 76%*, 19 Oct 2026. https://kalkine.com.au/news/economic-news/brent-crude-price-2026-up-76-why-the-hormuz-crisis-still-outweighs-a-russia-sanctions-waiver
2. ABC News, *RBA unlikely to lift rates again in November after lower-than-expected inflation figures*, 30 Sep 2026. https://www.abc.net.au/news/2026-09-30/inflation-august-2026-australia-bureau-of-statistics/107210688
3. NRMA, *Fuel costs and supply in Australia: when will fuel prices drop?*, 22 Sep 2026. https://www.mynrma.com.au/open-road/news/2026/fuel-price-updates-war-in-iran
4. ABC News, *ASX markets and business live blog*, 16 Oct 2026. https://www.abc.net.au/news/2026-10-16/asx-markets-business-news-live-updates-oct-16/107271360
5. MacroBusiness, *The economic week in review*, 17 Oct 2026. https://www.macrobusiness.com.au/2026/10/the-economic-week-in-review-3/
6. Proactive Investors, *IMF cuts Australian growth outlook to 1.6%*, 14 Oct 2026. https://www.proactiveinvestors.com.au/a/ad6b98c6/imf-cuts-australian-growth-outlook-to-1-6-as-inflation-and-debt-pressure
7. Reserve Bank of Australia, *Fireside chat at the Commonwealth Bank's Global Markets Conference (Christopher Kent)*, 19 Oct 2026. https://www.rba.gov.au/speeches/2026/sp-ag-2026-10-19.html

Note: SMH and AFR coverage could not be retrieved. Fuel prices change weekly; the figures are as at 14 October. Monthly CPI figures are more volatile than the quarterly CPI.